

Actuarial Memorandum: Motor Insurance Q2 2025

Summary

Recent claims experience shows that drivers under 25 in the Northern region represent a disproportionate share of motor losses. Our 2025 H1 portfolio review finds this cohort runs a claim frequency 47% above the portfolio average, with an average of 1.6 claims per policy versus 0.17 for the 25-65 baseline band.

Claims Frequency by Age Band and Region

Age Band	Region	Avg Premium	Claim Freq	Loss Ratio
Under 25	North	\$2,153	0.479	82%
Under 25	Other	\$1,730	0.403	71%
25 - 65	All	\$934	0.169	48%
Over 65	All	\$1,113	0.228	56%

Regulatory Context

Insurance Regulatory Authority Circular 2024-08 permits age-banded pricing for motor insurance provided the differential is actuarially justified and disclosed on the policy schedule. Pricing actions exceeding 15% in any segment require board approval and a 30-day customer notification window. Below 15%, no notification period is required.

Recommendation

Increase motor premiums by 8-12% for under-25 drivers in the Northern region. Repair cost inflation of 12% YoY and a 9% increase in third-party liability severity both reinforce this action. For under-25 drivers in other regions, hold rates flat pending a Q3 review. Maintain current pricing for the 25-65 band where loss ratios remain within target.